

EG Daily Brief: Oil likely to dip below \$70 amid UAE-Saudi rivalry

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Daily Brief: Oil likely to dip below \$70 amid UAE-Saudi rivalry

Oil price outlook | Burnham economic agenda | US-NATO future | Pakistan-Afghanistan ceasefire collapse | Upcoming conference calls | EG in depth

summary

- * UAE-Saudi competition will likely push Brent below \$70 per barrel.
- * The UK's likely next Prime Minister Andy Burnham may tweak investment and use the fiscal buffer to fund immediate priorities like the increase in defense spending.
- * The NATO summit will be defined by targeted US coercion against member states it views as uncooperative.
- * Afghanistan-Pakistan ceasefire collapse will mean a return to extended low-level conflict.
- * Regions, countries, and sectors covered in this edition include the US, Afghanistan, Pakistan, Saudi Arabia, the United Arab Emirates, the UK, Venezuela, NATO, and oil.

the top line

Oil Markets Weekly—UAE-Saudi competition will keep prices low

- * Prices will likely fall below \$70 per barrel for Brent as Middle East producers push out more product into a market that remains well-supplied.
- * The UAE and Saudi Arabia are both slashing their selling prices and ramping up production, as they compete for markets in the aftermath of the US-Iran war and the UAE's exit from OPEC.
- * While Strait of Hormuz flows have recovered to 30%-50% of pre-war levels, further gains hinge on demining progress and resolving Iran's demands for ship transit tolls.
- * Read more here . Reach out to discuss: ecr@eurasiagroup.net .

UK—Burnham may tweak investment rule to enable more borrowing

- * Although large parts of Andy Burnham's economic agenda remain unclear, a "Number 10 North" based in Manchester will drive plans to devolve powers from Whitehall to mayors and local authorities

and weaken the chancellor, still undecided, and the Treasury.

- * Burnham will prioritize measures to tackle the cost-of-living crisis through tax increases, such as raising the capital gains tax to align with income tax.

- * Though Burnham has vowed to stick to Chancellor Rachel Reeves's fiscal rules, he is considering widening the definition of the rule on investment and is likely to use some of the £23.6 billion fiscal buffer to fund some early priorities, such as a defense spending increase.

- * Read more here . Reach out to discuss: europe@eurasiagroup.net .

US—Targeted coercion, not broad threats of pullback, will define US approach to NATO summit

- * US President Donald Trump's visit to the NATO summit in Turkey this week will feature a rehash of familiar critiques, but Trump will focus his pressure on individual states he views as uncooperative rather than the institution as a whole.

- * The US approach to NATO is moving away from threats to withdraw broadly and toward efforts to benefit specific states within NATO, building internal coalitions.

- * Trump and Secretary of Defense Hegseth will target states that refused access during the Iran War with threats of troop reduction. Hegseth's announcement of a six-month review of forces is an effort to formalize this threat, though his ability to follow through is limited.

- * Trump faces pushback and limitations from within the GOP and Congress for action against NATO. However, these may become less important with Trump increasingly estranged from his own party's, and his individual relationship with European leaders will likely shape US policy.

- * Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Pakistan—Ceasefire collapse will extend cycle of low-level conflict in Afghanistan

- * Taliban-affiliated militants and the Pakistani military used an April ceasefire to prepare for renewed fighting, as publicly evidenced by the recent attack on a major Pakistani military installation.

- * The Taliban regime in Afghanistan wants a pause in hostilities, but it has little leverage over its affiliate, the Tehreek-e-Taliban Pakistan (TTP), and, for domestic political reasons, must retaliate against Pakistani cross-border strikes.

- * The TTP and the Pakistani military have no strategy other than coercive action against each other, ensuring that the conflict will continue.

- * Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Upcoming conference calls

- * 7 July 11:00 AM ET—Colombia's fiscal outlook: A conversation with Juan Sebastian Betancur, technical director of the Autonomous Fiscal Rule Committee. Register here .

- * 8 July 10:00 AM ET—China: Recent engagement with key officials. Register here .

* 9 July 9:00 PM ET—On the ground in China: Assessing the reset of China-US relations and rising China-EU and China-Japan tensions. Register here .

eg in depth

Venezuela—Latest poll confirms frustration with Rodriguez’s disaster response: A June AtlasIntel poll shows interim President Delcy Rodriguez’s approval rating falling from 37% in February to 24% in June, while disapproval rose from 44.3% to 63.3% and the share rating the administration as “bad” or “very bad” increased from 33.5% to 53.3%. Opposition leader Maria Corina Machado’s approval ratings slipped from 55% in May to 53%, while Trump’s ratings rose from 45% to 50%. The survey also shows the earthquakes increasing demand for political change, with 45.7% indicating that elections should take priority over reconstruction. The focus on rebuilding limits the scope for near-term social upheaval, but the potential for protests may grow over time if there isn’t visible progress toward a transition. The Trump administration remains supportive of Rodriguez, but an inability to guarantee stability and deliver a foreign policy success in Venezuela could accelerate the timetable (see note , 1 July). Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming events:

- * 7 July: Events: France’s Court of Appeal will rule on Marine Le Pen’s challenge to a ban on running for public office; NATO summit begins in Turkey (through July 8); Data: US trade.
- * 9 July: Data: China PPI and CPI.
- * 10 July: Data: France CPI, Germany CPI, Japan PPI.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, Sol Lopes, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

In my lifetime, all the successful PMs have made the Treasury work for them; all the duds have tried to exclude it or blamed it for their own failings.”—former UK Chancellor George Osborne.

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Explanation of Political Trajectories (ie, “Trajectories”)

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are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group's country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

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